SaaS Valuation Engine · Equity Research
US Software · Initiation of coverage

HubSpot, Inc. (HUBS)
1 November 2026

MATURING · INITIATING AT OVERWEIGHT

HubSpot: Mid-Market CRM Priced for Stagnation Despite Growth

We initiate on HubSpot with an Overweight rating and a price target of $606, implying a 158.0% return from $234.87, against a coverage-universe median expected return of 5.8%. The model flags this target as an outlier, and we treat it as such. Our core view is that the share price embeds revenue growth of only 5.8% against a business that grew 19.2% in calendar 2025 with improving free cash flow, though AI substitution risk is the reason the market disagrees.

1. Market-implied growth sits far below delivered growth

Our reverse DCF indicates the current price implies 5.8% revenue growth, against a DCF starting growth rate of 19.2%. Growth has decelerated from 33.1% in FY2022 to 19.2% in FY2025, but it remains 5.5 points above the peer median of 13.7%. In our view the gap between implied and delivered growth is the main source of upside, provided deceleration stays gradual.

2. Discount to peers on revenue multiples

HubSpot trades at 3.2x calendar 2025 EV/revenue versus a peer median of 7.9x, despite faster growth. On cash flow the stock looks less stretched than its 69.7x EV/EBITDA suggests, at 20.3x P/FCF. We read the discount as an AI-disruption risk premium rather than a judgment on current operating performance.

3. Free cash flow scaling, GAAP profitability arriving

FCF rose from $177M in FY2021 to $577M in FY2025, with FCF margin widening from 13.6% to 18.4%. Operating margin turned positive at 0.2% from -9.3% in FY2023, and gross margin was 83.8% in FY2025. The combined growth-and-margin score of 37.6% is respectable, and we see room for further margin expansion toward the 25.0% mature FCF margin we assume.



Source: Yahoo Finance (daily close, split-adjusted); price target and scenarios from this model.

RATING
Overweight

PRICE TARGET

12-month target	**$606**
Share price (2026-11-01)	**$234.87**
Expected return	**+158%**
Bull case	**$973 (+314%)**
Bear case	**$381 (+62%)**

Model outlier. The target implies a move beyond ±75%. Read with the valuation discussion, which explains the driver.

KEY DATA

Market cap	**$11.7B**
Enterprise value	**$10.0B**
52-week range	**$170–$495**
EV / revenue (CY25)	**3.2x**
EV / EBITDA (CY25)	**69.7x**
P / FCF (CY25)	**20.3x**
Revenue growth (CY25)	**19%**
FCF margin (CY25)	**18%**
Growth price implies	**6%**

VALUATION

DCF value	**$370**
Comps value	**$726**
WACC	**10.7%**
Terminal growth	**3.0%**

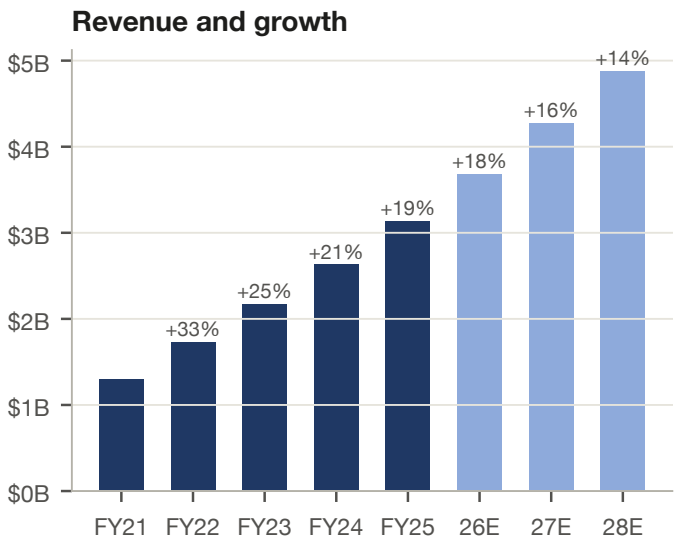
Business overview

HubSpot sells a subscription-based customer platform to mid-market business-to-business companies, which it defines as those with 2 to 2,000 employees. The platform combines a Smart CRM data layer with engagement Hubs (Marketing, Sales, Service, Content, Operations and Commerce) and Breeze, its AI assistant and agent layer. Hubs come in free and paid tiers, and a freemium motion converts users to paid products. Revenue grows through upsell to higher tiers, added seats and contacts, cross-sell of additional Hubs, and newer seat- and consumption-based pricing. Substantially all contracts run one year or less. Commerce Hub adds payment processing. In 2025 the company reported revenue of $3.1 billion, net income of $45.9 million and 288,706 Customers in more than 135 countries, with no single customer above ten percent of revenue. Solutions Partners and the customers they referred accounted for approximately 49% of 2025 revenue. Customers outside the United States generated approximately 48% of revenue.

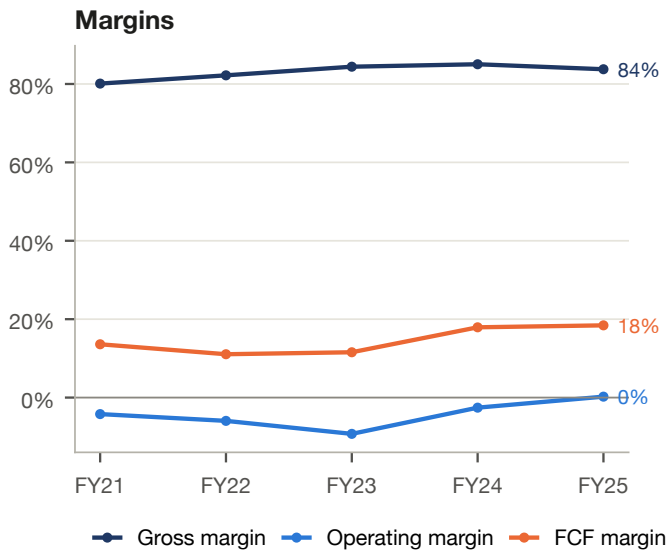
Financial summary

USD millions	FY21	FY22	FY23	FY24	FY25	26E	27E	28E
Revenue	1,301	1,731	2,170	2,628	3,131	3,681	4,268	4,879
growth	*n/a*	*+33%*	*+25%*	*+21%*	*+19%*	*+18%*	*+16%*	*+14%*
Gross margin	80%	82%	84%	85%	84%	–	–	–
Operating margin	-4%	-6%	-9%	-3%	0%	–	–	–
Free cash flow	177	191	251	471	577	n/a	n/a	n/a
FCF margin	*14%*	*11%*	*12%*	*18%*	*18%*	*n/a*	*n/a*	*n/a*
FCF after stock-based pay	10	(84)	(181)	(34)	49	144	267	419
margin	*1%*	*-5%*	*-8%*	*-1%*	*2%*	*4%*	*6%*	*9%*
Stock-based pay % revenue	13%	16%	20%	19%	17%	–	–	–

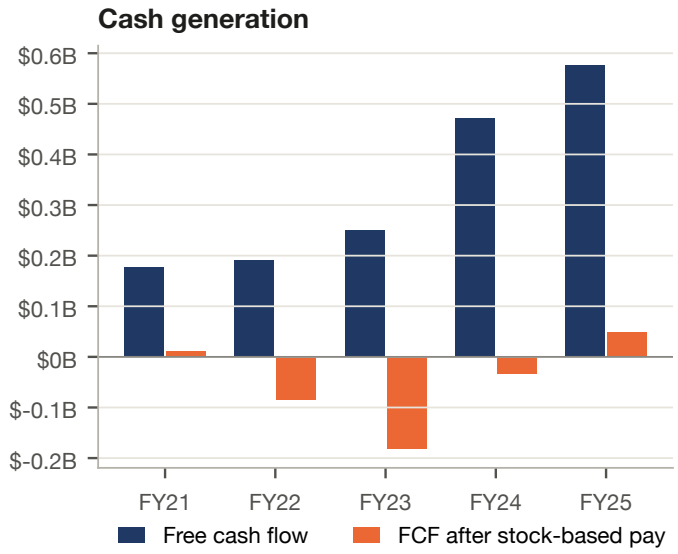
Actuals are fiscal years from 10-K filings (SEC EDGAR). Estimates (E, shaded) are calendar years from the DCF projection; estimated free cash flow is after stock-based pay, which the model treats as a cost. n/a: not in the SEC's standardized data.



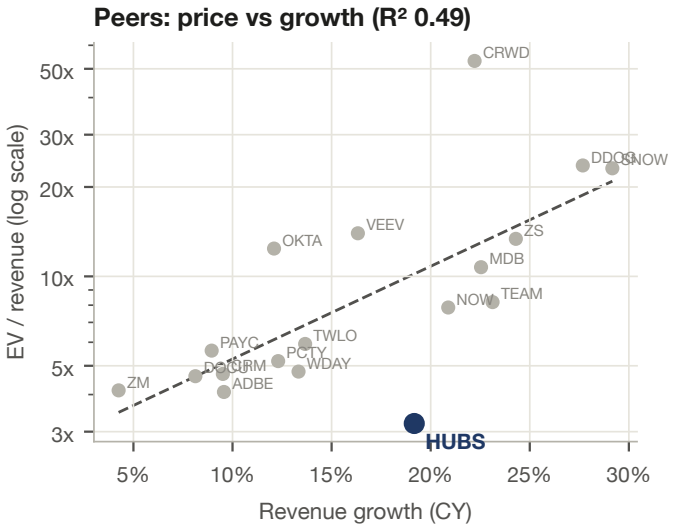
Source: 10-K filings via SEC EDGAR (fiscal-year actuals); model estimates (E, calendar years).



Source: 10-K filings via SEC EDGAR. FCF = operating cash flow - capex - capitalized software.



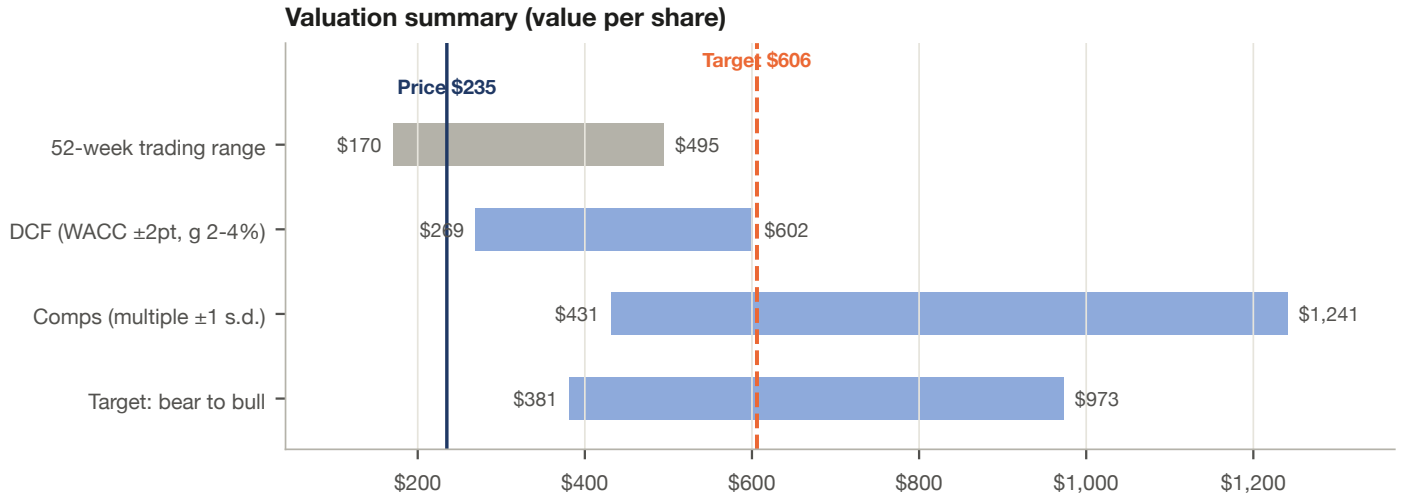
Source: 10-K filings via SEC EDGAR. A missing bar means capex is not in the SEC's standardized data.



Source: This model, calendar-year comps for the 18-company coverage universe.

Valuation and price target

Our target blends a DCF and a comparables approach, producing a fair value today of $548.06 that rolls forward to the $606 target. The two methods diverge sharply. The DCF yields $369.96, using a 10.7% WACC, 3.0% terminal growth and a 25.0% mature FCF margin, with 66.0% of value in the terminal period. The comps approach yields $726.17. This comps value is the main reason the target exceeds the model's outlier threshold. It is driven by a regression of EV/revenue on growth that maps HubSpot's above-median growth onto peer multiples far above its current 3.2x. That regression has an R^2 of 48.9%, so roughly half the variation in peer multiples is unexplained. It also does not capture the AI-substitution discount the market is applying, nor HubSpot's FCF margin, which at 18.4% is 8.3 points below the peer median of 26.7%. We would therefore place more weight on the DCF, which alone still implies upside, than on the headline target. Scenarios range from a bear case of $381, a 62.2% return, to a bull case of $973, a 314.3% return. A bear case above the current price reflects how low the market's implied growth is, but we caution that the model's bear case does not fully reflect a structural AI-driven decline. The trading range over the past year, from a low of $170.28 to a high of $494.58, shows how volatile sentiment has been.



Source: This model; Yahoo Finance for the 52-week trading range.

DCF sensitivity: value per share by WACC (rows) and terminal growth (columns)

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
8.7%	$464	$490	$521	$557	$602
9.7%	$395	$413	$434	$457	$486
10.7%	$343	$355	**$370**	$386	$405
11.7%	$302	$311	$322	$334	$347
12.7%	$269	$276	$284	$293	$303

Bordered cell: base case. Blue: above today's price of $234.87; red: below.

Risks to our rating

AI substitution of the CRM suite. The 10-K names generic LLMs, general-purpose agents and vibe-coded custom software as substitutes that could make HubSpot's products less necessary or force price cuts. This is the largest swing factor for long-run growth and for the 66.0% of DCF value sitting in terminal value. If it materializes, the market's 5.8% implied growth may prove accurate.

Pricing transition execution. Revenue-per-customer growth increasingly depends on newly introduced seat- and consumption-based pricing. Lower-than-expected consumption or slower upsell would weaken net revenue retention and predictability, undermining the 19.2% starting growth assumption.

Short contracts and a cyclical customer base. Substantially all contracts are one year or less, and mid-market and small-business customers can churn or downgrade quickly in a weaker economy. Deferred revenue delays the reported impact, so deterioration could surface after it has already begun.

Breeze compute costs and dilution. AI inference costs could pressure gross margin, which already slipped from 85.0% in FY2024 to 83.8% in FY2025. Stock-based pay at 16.9% of revenue means FCF overstates economic earnings and could slow progress toward the 25.0% mature margin.

Privacy and email regulation. GDPR, CCPA, opt-in email laws, cookie consent and opt-out mechanisms could reduce the effectiveness of tracking and marketing automation. The company has already faced CIPA tracker claims.

What would change our view

- Revenue growth decelerating below the peer median of 13.7%, which would narrow the gap to market-implied growth and weaken the comps case.
- FCF margin failing to expand from 18.4%, or gross margin falling meaningfully further as Breeze compute costs scale.
- Evidence of rising churn or seat and tier downgrades among smaller customers, indicating AI substitutes are displacing paid Hubs.

Methodology

Price target. Fair value today blends a discounted cash flow value (50%) with a comparable-company value (50%); where the DCF is not meaningful, the comps value is used alone. The 12-month target rolls fair value forward over 12 months at the cost of equity less a dividend yield of 0%, rounded to the nearest dollar.

DCF. A two-stage model: 5 explicit years followed by 5 fade years in which revenue growth glides to a terminal rate of 3.0% and the free-cash-flow margin moves to a mature level of at least 25%. Stock-based compensation is deducted as a real cost. The discount rate is the WACC, with the cost of equity from CAPM (risk-free rate 4.3%, equity risk premium 5.5%, Blume-adjusted beta).

Comparables. ln(EV/revenue) is regressed on calendar-year revenue growth across the 18-company coverage universe (R^2 0.49). Each company's fair multiple comes from a line fitted on the other companies (leave-one-out), applied to its revenue and bridged to equity value per share.

Scenarios. Bull and bear cases shift the DCF's starting growth by ±5 points and its mature margin by ±5 points, and move the fair multiple by one standard deviation of the regression residuals (0.56 in log terms, a factor of 1.74).

Rating. Ratings are relative to the coverage universe: Overweight if the expected return beats the universe median (+6% at this date) by at least 15 points, Underweight if it trails by at least 15 points, otherwise Neutral. Targets implying a move beyond ±75% are flagged as model outliers rather than capped.

Narrative. Written by Claude Opus 5.5 from the model's figures, the company's latest 10-K (Item 1 and Item 1A) and a risk summary. Every number in the text was checked automatically against those sources; the rating and target were set by the model and given to the writer as facts.

Disclosures. This report was generated automatically by the SaaS Valuation Engine, an educational portfolio project. It is not investment research from a regulated firm and not investment advice; nothing in it is a recommendation to buy, sell or hold any security. Data: SEC EDGAR filings and Yahoo Finance market data as of 2026-11-01. Figures may contain errors; verify against the company's filings before relying on them.